ZIMBABWE INTEGRATING CAPITAL AND RISK PROGRAMME

('ZICARP')

TS 5 – Technical Specification for the Determination of

Minimum Capital Requirement

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1. Introduction

1.1 The Zimbabwe Integrating Capital and Risk Programme ('ZICARP') defines the Minimum Capital Requirement ('MCR') as the minimum level of security below which the amount of an insurer's financial resources should not fall.

1.2 In many jurisdictions, it is the minimum amount of capital required for insurers to write business.

1.3 The MCR is used among other factors to measure the financial soundness of insurers.

1.4 The main aim of the MCR is to provide the ultimate safety net for the protection of the interests of policyholders. The MCR should further represent the point at which the Insurance and Pensions Commission ('IPEC') would invoke its strongest actions if further capital is not made available.

1.5 MCR is a formula-based figure. The MCR is designed to be a relatively simple measure that combines a linear formula linked to the scale of the insurer's business, with an upper/lower bound linked to the Solvency Capital Requirement ('SCR').

1.6 The MCR is subject to an absolute floor, expressed in local currency, which relates to the scope of an insurer's activities.

Application

1.7 This TS applies to all insurers that are licensed and supervised by the Insurance and Pensions Commission ('IPEC' or the 'Commission').

Effective Date

1.8 This updated Specification version 3 is effective from 1 January 2023 and should be read in conjunction with Circular 23 of 2021 which implements ZICARP.

2. Duties and Accountabilities under MCR Framework

Board of Directors

2.1 The ultimate responsibility for the solvency assessment and management of the insurer rests with the Board of Directors ('Board'). The Board of an insurance company must ensure that the insurer always meets all the risk-based capital requirements.

2.2 Specifically, the Board must always ensure the following under ZICARP:

2.2.1 That an insurer holds an appropriate level and quality of capital that is commensurate to the risks to which the insurer is exposed;

2.2.2 That an insurer maintains an appropriate level and quality of Own Funds to meet the SCR on a continuous basis;

2.2.3 That there are procedures put in place to continuously monitor the financial health of the insurer and to identify all possible deteriorations in capital or business conditions of an insurer; and

2.2.4 That IPEC is notified within a reasonable time, normally interpreted as three calendar months of any circumstances that may lead to a deterioration of the financial health of an insurer or of circumstances that may cause an insurer to break any of the risk-based capital requirements under ZICARP.

Actuarial Function

2.3 The Actuarial Function will report to the Board and provide assurance that the calculations of solvency capital requirements are accurate and compliant with the requirements of the ZICARP framework.

2.4 The Head of the Actuarial Function or the Appointed Actuary shall report to IPEC directly and within one (1) month in circumstances:

2.4.1 Where the insurer has breached, or is likely to breach the Absolute Minimum Capital Requirements under ZICARP;

2.4.2 Where the insurer has ceased to maintain effective reinsurance cover;

2.4.3 Where an insurer or its directors may have contravened the Act or any other law and the contravention may prejudice the interests of the policyholders; and

2.4.4 Any other circumstances have been established that will compromise the insurer's ability to meet policyholder obligations.

Risk Management Function

2.5 The Risk Management Function reports to the Board and must:

2.5.1 Provide specialist analysis and perform risk reviews;

2.5.2 Identify, measure, monitor and manage the risks the insurer faces;

2.5.3 Gain and maintain an aggregated view of the risk profile of the insurer at an enterprise-wide and individual business unit level;

2.5.4 Conduct regular stress testing and scenario analyses, including in respect of outliers or matters with low probability but high potential impact; and

2.5.5 Have oversight of ERM and ORSA implementation.

Internal Audit Function

2.6 The Internal Audit function shall perform regular independent and objective assessments of key components of the ZICARP framework.

2.7 The Internal Audit function shall submit a report to the board of the insurer with its material findings and remediations on key components of the

ZICARP framework. Such a report will further be furnished to IPEC within thirty days after conduct of the audit.

2.8 However, should there be material issues which prejudice policyholders or threaten viability of the insurer the head of internal audit shall immediately report to the Commission.

Compliance Function

2.9 The Compliance Function shall have the authority and obligation to promptly inform the chairperson of the board directly in the event of any contravention of the Insurance Act [Chapter 24:07] and any other major non-compliance by a member of management or any staff member for that matter or a material non-compliance by the insurer with the ZICARP framework or an external obligation.

2.10 This shall apply where he or she believes that management is not taking the necessary corrective actions and any delay would be detrimental to the insurer or its policyholders. The chairperson of the board will be required to report to IPEC any such occurrences and institute an investigation and/or remedial action within seven (7) days.

2.11 Detailed roles and accountabilities under ZICARP are further outlined in TS 1 and Governance and Risk Specifications 2, 3 and 4.

External Audit

2.12 **The** External Auditor must audit the financial health of an insurer in accordance with its legal and regulatory obligations. The Auditor must report to the Board of Directors and IPEC any matters identified during the audit process that may cause the insurer not to be financially sound.

2.13 The external auditor must assess the information disclosed by the insurer in its SFCR taking note that any information which is outside the scope of the audit engagement is consistent with the relevant elements of the SFCR.

2.14 The external audit will be on an annual basis keeping in line with the frequency of the internal audits.

3. Objectives of the MCR Framework

3.1 The following are key objectives of the MCR framework under ZICARP:

3.1.1 To enhance the protection of policyholders and other stakeholders involved;

3.1.2 To ensure that local insurers have the capacity to retain significant portions of risks within Zimbabwe, thereby reducing externalisation of premiums to foreign insurers;

3.1.3 To act as a buffer against the operating environment, which has become increasingly volatile;

3.1.4 To minimise the number of failed companies. For example, failure to service claims coupled with low capitalisation resulted in notable insurance failures between 2010 and 2013. That trend prompted the Commission to increase the absolute minimum capital requirement under ZICARP;

3.1.5 To ensure that insurers continuously maintain an appropriate level of capital to satisfy the MCR on a continuous basis;

3.1.6 To ensure the insurer's Board provides an oversight in the design and implementation of sound risk management and internal control systems;

3.1.7 To ensure that the insurer's Board develops appropriate systems, procedures and controls to meet the MCR principles and requirements on an ongoing basis;

3.1.8 To ensure that insurers calculate their MCR at least quarterly and submit the results to IPEC. Insurers need to conduct self-assessments on an ongoing basis to ensure compliance with the MCR;

3.1.9 To ensure that the insurer's Board understands the impact and penalties associated with the breach of the MCR;

3.1.10 To set a MCR which makes local insurers competitive; and

3.1.11 To ensure early intervention from the Commission for insurers who are not financially sound and pose a risk to the market.

4. General Structure of the MCR

4.1 The MCR is a linear measure based on the following factors:

Linear Formula

4.1.1 The linear formula is calibrated to the Value-at-Risk of the Basic Own Funds of an insurer subject to a confidence level of 85% over a one-year period;

4.1.2 The linear formula for life insurance and non-life insurance is calculated separately;

4.1.3 The MCR for life insurance obligations will be denoted as (MCRL) and the one for non-life insurance will be denoted as (MCRNL);

4.1.4 For the linear formula, life insurance obligations use capital at risk and technical provisions, net of eligible reinsurance and excluding the risk margin. Non-life insurance obligations also use technical provisions, net of eligible reinsurance and excluding the risk margin, and earned premiums net of eligible reinsurance;

4.1.5 The MCR calculated using the linear formula must be segmented according to the lines and sublines of business. These lines and sub-lines are defined under section 9 of this technical specification.

The Corridor

4.1.6 This constitutes a cap of 45% of the Solvency Capital Requirement (SCR) and a floor of 25% of the Solvency Capital Requirement. The cap and floor together are known as the corridor.

Absolute Minimum Capital Requirement

4.1.7 The Absolute Minimum Capital Requirement ('AMCR') under ZICARP is the absolute floor and is dependent on the type of business the insurer is writing.

4.1.8 It further depends on the stipulated monetary minimum capital amount for each type of insurer.

4.1.9 The AMCR will be determined by IPEC from time to time.

5. Calculations of the MCR

5.1 The Minimum Capital Requirement will be equal to the following:

$$MCR = \max(MCR_{combined}, AMCR)$$

where:

i. $MCR_{combined}$ is the combined Minimum Capital Requirement. It is the combination of the linear formula and the corridor (cap and floor of SCR); and

ii. AMCR is the stipulated absolute minimum capital floor which is set from time to time by IPEC. The absolute minimum capital requirements (AMCR) represent the absolute minimum amount of capital that insurers should hold at any given point in time. Insurers should note the following:

   a. If for whatever reason the AMCR is greater than MCR combined i.e. the MCR calculated using the linear formula, the insurer is required to hold the AMCR; and

   b. If for whatever reason the AMCR is greater than SCR, the insurer is required to hold the AMCR.

5.2 The $MCR_{combined}$ is calculated as shown below:

$$MCR_{combined} = min(max(MCR_{linear}, 0.25 \cdot SCR), 0.45 \cdot SCR)$$

where:

MCR_{linear} =The MCR calculated using the linear formula for life and non-life insurance obligations; and

SCR = Solvency Capital Requirement.

6. Linear Formular for Non-Life Obligations

6.1 The formula for Non-Life insurance obligations is calculated as follows:

$$MCR_{NL} = \sum_s max(\propto_s \cdot TP_s, \beta_s \cdot P_s)$$

where:

i. TP_s= Technical provisions excluding the risk margin for each line and sub-line of business net of eligible reinsurance. The sublines are outlined;

ii. P_s = Earned premiums in each line and sub-line of business over the last 12-month period, net of eligible reinsurance; and

iii. iii. The factors α_s and β_s are defined for each line and sub-line of business as set out in **TS5-A1** of this Technical Specification.

7. Linear Formular for Life Obligations

7.1 The Life Insurance linear formula is calculated as follows:

$$MCR = 0.037 \cdot TP_{(life,1)} - 0.052 \cdot TP_{(life,2)} + 0.007 \cdot TP_{(life,3)} + 0.021 \cdot TP_{(life,4)} + 0.0007 \cdot CAR$$[1]

where:

i. $TP_{(life,1)}$ denotes technical provisions for policies with investment guarantees, excluding the risk margin and net of eligible reinsurance;

ii. $TP_{(life,2)}$ denotes the technical provisions for policies with future discretionary benefits for life insurance with profit participation excluding risk margins and net of eligible reinsurance;

iii. $TP_{(life,3)}$ denotes the technical provisions for index linked and non-index linked life insurance;

iv. $TP_{(life,4)}$ denotes the technical provisions without a risk margin for all other life insurance and reinsurance obligations after deduction of the amounts recoverable from reinsurance contracts and special purpose vehicles, with a floor equal to zero; and

v. CAR denotes the "capital-at-risk" for each policy. This measure should be calculated as the sum of financial strains for each policy on immediate death or disability where it is positive.

[1] The Linear Formula for Life Insurance Obligations has been adopted from SAM and Solvency II

8. MCR for Composite Reinsurers

8.1 The MCR for Composite Reinsurers is calculated as follows:

$$MCRcomposite = max(MCR_{combinedLife} + MCR_{combinedNL}, AMCR_{composite})$$

where:

i. $AMCR_{composite} = Stipulated\ MCR\ for\ Composite\ Reinsurers$

ii. $MCR_{combinedLife}$ = Notional MCR for life insurance obligations produced by combining the linear formula with the cap and floor in the corridor;

iii. $MCR_{combinedNL}$ = Notional MCR for non-life insurance obligations produced by combining the linear formula with the cap and floor in the corridor.

8.2 The notional combined life and non-life MCRs must be calculated as:

$$MCR_{combined\_Life} = min\ [max\ (MCR_L, 25\%. NSCR_{Life}), 45\%. NSCR_{Life}]$$

$$MCR_{combined\_NL} = min\ [max\ (MCR_{NL}, 25\%. NSCR_{NL}), 45\%. NSCR_{NL}]$$

Where:

$$NSCR_L = \frac{MCR_L}{MCR_L + MCR_{NL}} \cdot SCR$$

$$NSCR_{NL} = \frac{MCR_{NL}}{MCR_L + MCR_{NL}} \cdot SCR$$

i. MCR_L = The linear formula component for life insurance component;

ii. MCR_{NL} =The linear component formula for non-life insurance obligations; and

iii. SCR = The SCR for the composite reinsurer

9. TS5-A1: Factors for the Non-Life Linear Formular

Main Class	Sub-Class	α_s- Factors for technical provision	β_s – Factors for Premium Written
Property Damage	Aviation	18%	22%
	Marine	18%	22%
	Engineering all risks	14%	13%
	Motor	13%	11%
	Farming	20%	17%
	Fire	14%	13%
	Travel Insurance	14%	20%
Financial Loss	Hire Purchase	20%	17%
	Bonds	25%	28%
	Legal	20%	17%
	Fidelity Guarantee	20%	17%
	Miscellaneous	20%	17%
Fixed Benefits	Accident	20%	17%
	Health Insurance	20%	17%
	Liability	20%	14%

TS 5-A1: Factors for the calculation of the linear formula for non-life insurance obligations [2]

[2] The factors for the Non-Life linear formula have been obtained from the SAM regime.

10. Glossary

Economic capital: Internally defined capital measure based on the company's valuation of the market-consistent value of assets minus the market-consistent value of obligations.

Minimum capital requirement: The capital level representing the final threshold that triggers ultimate supervisory measures in the event that it is breached.

Regulatory capital: The capital level representing the final threshold that triggers ultimate supervisory measures in the event that it is breached.

Reinsurance: Type of risk mitigation on the basis of an insurance contract between one insurer or pure reinsurer (the reinsurer) and another insurer or pure insurer (the cedant), to indemnify against losses, partially or fully, on one or more contracts issued by the cedant in exchange for a consideration (the premium).

Reserve risk: Relates to incurred claims, i.e. existing claims, (e.g. including IBNR and IBNER), and originates from claim sizes being greater than expected differences in timing of claims payments from expected, and differences in claims frequency from those expected.

Risk margin: A generic term, representing the value of the deviation risk of the actual outcome compared with the best estimate, expressed in terms of a defined risk measure.

Solvency capital requirement: The amount of capital to be held by an insurer to meet the Pillar I requirements under ZICARP.

Technical provision: An insurer's contractual obligations/rights under an insurance contract.

Value-at-Risk: The maximum dollar amount expected to be lost (given normal market conditions) over a given time horizon, at a predetermined confidence level.